

24STCV03098 24STCV03098

County: los-angeles

Division: Civil Law and Motion

Department: 309

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Case Number: 24STCV03098 Hearing Date: September 23, 2026 Dept: 309

Superior Court of California

County of Los

Angeles

DEPARTMENT 309

TENTATIVE RULING

JIANGXI DACHENG ELECTROMECHANICAL EQUIPMENT
IMPORT AND EXPORT CO. LTD

vs.

CHW TRADING, INC., et al.

Case

No.: 24STCV03098

Hearing Date: September 24, 2026

Defendants'

motion for summary judgment is DENIED. Defendants' motion for summary adjudication is GRANTED as to the negligence cause of action, but DENIED as to the fraud cause of action.

On 2/6/2024,

Plaintiff Jiangxi Dacheng Electromechanical Equipment Import and Export Co.

Ltd. filed suit against CHW Trading, Inc., Chundi Liu aka Chun Di Liu, Catwalk to Sidewalk Inc., and Kyong Won Kang. On 11/6/2025, Plaintiff filed a first amended complaint (FAC). On 4/7/2026, Plaintiff filed a second amended complaint (SAC) alleging: (1) fraud/misrepresentation; and (2) negligence.

On

7/2/2026, Defendants CHW Trading, Inc. and Chundi Liu (collectively, Defendants) moved for summary judgment, or in the alternative, summary adjudication of Plaintiff's SAC.

Discussion

Defendants

argue that Plaintiff cannot establish either of its claims, and submitted evidence that:

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The Sales Contract, Supplemental Agreement 1, and Supplemental Agreement 2 were each signed by Catwalk to Sidewalk, Inc (SS 2)

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Plaintiff admits that none of the three agreements states that Catwalk signed as CHW's agent. (SS 3)

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Plaintiff signed the \$500,000 sales contract with Catwalk; the initial CHW arrangement did not proceed because CHW's approved credit limit (\$200,000) was insufficient, which is when the middle person introduced Catwalk. (SS 4)

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Plaintiff admits the communications concerning the agreements were conducted through intermediaries, rather than between Plaintiff and CHW, and identifies those intermediaries as Lei Zhu and Yongkang Zhu. (SS 5)

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The two "middle persons" are Yongkang Zhu — Plaintiff's outside business middle person, who introduced the

trade — and Lei Zhu — Plaintiff's supplier/manufacturer and business partner.
Neither is employed by Plaintiff or by CHW. (SS 6)

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All communications concerning the
agreements were conveyed through "middle persons"; Plaintiff
"didn't have any direct communication with CHW Company with regard to the
signing of the contracts." (SS 8.)

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Plaintiff admits the only
"writing" connecting CHW to the agreements consists of WeChat
messages from "middle persons," who allegedly "informed
[Plaintiff] that CHW told them to use Catwalk's name." (SS 11)

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The WeChat messages Plaintiff relies on
(P00219-221) are communications between Yongkang Zhu and Lei Zhu; no one
employed by Plaintiff, and no one from CHW, participated. (SS 12)

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Any loss of the goods occurred no later
than 2020; Plaintiff admits the last payment was August 6, 2020 (SS 23.)

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CHW is a customs-clearance and
logistics agent; it did not purchase or agree to purchase Plaintiff's goods.
(SS 25)

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Lei Zhu — not Plaintiff — was the
manufacturer responsible for production, specifications, and styles; Plaintiff
"do[es]n't handle the actual production" and is "just one
process during the trading process." (SS 26)

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CHW's designation as a notify party or
consignee, and its payment of customs and shipping charges, reflect its role as
a customs and logistics agent and do not establish any agreement to safekeep
goods for Plaintiff's benefit or any bailment relationship with Plaintiff. (SS

28.)

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CHW never agreed to hold, store, or safekeep any goods for Plaintiff's benefit, and undertook no bailment duty to Plaintiff. (SS 29.)

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Plaintiff alleges no physical or property damage independent of the unpaid purchase price; the goods were the subject of the sale and their asserted value is the contract price (SS 31.)

As for the fraud/misrepresentation claim, Defendants' evidence supports a reasonable inference that CHW did not make any representation to it, and that the communications surrounding the agreements occurred through intermediaries rather than between Jiangxi Dacheng and CHW. (UF 5, 7.) Defendants' evidence also supports a reasonable inference that CHW adopted nothing and accepted no benefit with such knowledge, and it did not confer any authority upon anyone. Finally, Defendants' evidence supports a reasonable inference that the only basis for inferring fraudulent intent is CHW's later nonpayment and this is insufficient to show an intent not to perform when the promise was made.

However, in opposition, Plaintiff submitted evidence of additional non-hearsay, party-admission evidence of CHW's direct participation. (See e.g. Liu Dep. at 118-121; 58-70, 76-79, Exs. 7, 19, 32.) This includes evidence of emails sent from Liu's personal email account to CHW's customs broker on September 26 and 27, 2019, attaching an ISF filing for one of the shipments at issue. This supports a reasonable inference that CHW's principal (i.e., Liu) personally handled customs paperwork for Dacheng's goods before Defendants claim CHW did not have any connection to the transaction.

Moreover, Plaintiff submitted evidence that the Citibank account Liu personally opened in September 2019 by using his own driver's license, Social Security number, and home address, and by using CHW's name and tax ID, was later used to wire five payments to Dacheng. (Liu Dep. at 58-70, 76-79, Exs. 7, 19, 32.)

Plaintiff

also submitted evidence which could show an intent to defraud, including Wang's two years of "continued assurances" that CHW would pay despite never disputing the debt and Liu's testimony that in 2020, as pandemic conditions improved, CHW selectively paid "some of the vendors" — specifically, those who "still had inventory and ... shipped the goods to us." (Liu Dep. at 138-139.)

Taken

together, the Court finds multiple triable issues as to Plaintiff's fraud cause of action. Accordingly, the Court finds triable issues as to the prayer for punitive damages, as well as the alter ego issue.

As for

negligence, the Court finds that this claim is barred by the economic loss rule. "[I]n general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage." Sheen v. Wells Fargo Bank, N.A., 12 Cal. 5th 905, 922 (2022); accord Southern California Gas Leak Cases, 7 Cal. 5th 391, 398 (2019) (no tort duty to guard against purely economic losses). Economic losses arising out of a transaction are the province of contract law, not tort. (Id. at 922-23.) Here, Plaintiff's negligence claim seeks exactly one thing — the unpaid balance of the purchase price, \$407,767.70 (UF 30; SAC ¶¶ 31, 44) — with no property damage independent of the bargain.

The Court

agrees that:

Plaintiff

cannot avoid the rule by relabeling the unpaid price as the "value" of lost goods: the goods were the very subject of the sale, their value is the contract price, and the asserted loss arises from the parties' transaction and allocation of risk, not from any duty independent of it. (UF 31.) To the extent Plaintiff recasts its claim as the loss of tangible goods, that does not rescue it: the goods were the subject of the parties' transaction, not separate "other property" whose damage would fall outside the rule, and Plaintiff seeks their contract price — an economic loss — not compensation for property it owned. The tort label cannot convert a payment dispute into negligence, and the claim is barred.

(Motion, 15:
13-20.)

Based on the foregoing, Defendants' motion for summary judgment is denied. Defendants' motion for summary adjudication is granted as to the negligence cause of action, but denied as to the fraud cause of action.

It is so ordered.

Dated: September
, 2026

Hon. Jon R.
Takasugi

Judge of the
Superior Court

Parties who intend to submit on this tentative must send an email to the court at smcdept17@lacourt.org by 4 p.m. the day prior as directed by the instructions provided on the court website at www.lacourt.org. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative. If all parties to a motion submit, the court will adopt this tentative as the final order. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. For more information, please contact the court clerk at (213) 633-0517.